embassies around the world were staffed by ambassadors who were ex-IRGC. The balance of economic power was tipped in favor of the IRGC, to the detriment of the bazaars, which had traditionally constituted the basis of economic power in Iran. The IRGC held approximately one hundred economic enterprises in the field of national infrastructure and about five hundred companies in the fields of industry, banking, seaports, communications, insurance, and recreation. Today (in 2018) it is estimated that the IRGC is the third-largest economic body in Iran, after the National Iranian Oil Company and the Imam Reza Foundation, located in the city of Mashhad. There is a concern that the IRGC's increasing control of the main centers of power and the destabilization of Iran's domestic situation may, given certain conditions, lead to the forceful takeover of Iran by the IRGC and to its official transition into a military dictatorship in the name of Islam, with control over a nuclear weapons arsenal and long-range ballistic missiles.

The wave of demonstrations that swept Iran in June 2009 was not necessarily the result of presidential election fraud. The fraud was just an excuse. The deeper motive for the outbreak of the protests was the economic, social, and political situation. The "man on the street" had realized that the regime had taken from him the few political rights he thought he still had. The masses threw their support to Mir-Hossein Mousavi and Mehdi Karroubi, who gave them the courage to take to the streets and release their long pent-up frustrations. In the fiery demonstrations that took place on December 7, 2009, students shouted: "Mousavi is the excuse, the entire regime is the target!" The regime, which had feared a defeat in the elections, had always planned on rigging the results. To deter popular resistance in advance, before the elections the regime held a series of extensive maneuvers and demonstrations to suppress any riots, using the Basij militias.

The illegitimacy of the regime, which was exacerbated by the rigging of the elections, and the internal rift within the regime's leadership—between the conservatives and the ultraconservatives, between Ayatollah Rafsanjani and President Ahmadinejad, and among other factions and bodies—further underscored the struggle over the future of the regime and its character, looking ahead to the day after Khamenei. The supreme leader's status and strength was significantly impaired, and his ability to find compromises that